REALTY360

Product Requirements Document

AI-Powered Residential Deal Analysis Platform for Home Flippers

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> **Vision:** A data-driven deal analysis platform for residential home flippers — built to find undervalued properties, model repair-and-resell profitability, and maximize returns. Commercial real estate remains a future consideration; clean data sources make residential the right place to start.

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1. Executive Summary

Realty360 is an AI-powered deal analysis platform built specifically for residential real estate investors who flip homes — buy undervalued properties, renovate them, and resell for profit. The platform focuses on the residential market first, where data sources (MLS, county tax records) are cleaner and more accessible. Commercial real estate, while a longer-term opportunity, is significantly harder to source reliable data for and is not in scope for the current build.

The platform differentiates in two ways. First, a hedonic pricing model breaks a home's value into its individual components — what a bedroom is worth, what a bathroom adds, what a pool or garage contributes, how school district quality affects price, how neighborhood location shifts the baseline. This gives flippers and agents a transparent, data-backed answer to "why is this property priced this way?" — something no consumer tool offers. Second, a flip profitability engine (in development) will layer ARV estimation and repair cost modeling on top of the valuation foundation. A potential CoreLogic data partnership is under discussion but not required; the platform is designed to run on MLS and county tax data.

> **Strategic Objective:** Build the go-to deal analysis tool for residential home flippers — starting with a transparent hedonic pricing model that shows exactly what each feature of a home is worth in a given market, then layering in ARV estimation, repair cost modeling, and flip profitability scoring. Residential first. Commercial is a future, harder problem.

2. Problem Statement

2.1 The Market Problem

Real estate investors — particularly in the commercial segment — operate in an information-fragmented environment. No single platform guides an investor through the complete lifecycle of a deal. The current state forces practitioners to stitch together multiple tools, manual spreadsheets, and disjointed data sources, creating decision latency, analytical errors, and missed opportunities.

2.2 Specific Pain Points

- Stale, area-level data from Zillow and Zestimate is unreliable for commercial underwriting and deal analysis.
- MLS data for commercial properties is fragmented and incomplete; no dominant data standard exists.
- Tax record data — a rich, largely untapped source for real estate intelligence — remains siloed at the county level.
- Probability of deal success is calculated manually (if at all), creating inconsistency in lender presentations.

- Investors manage deals across spreadsheets, email, PDFs, and point-solutions with no unified audit trail.
- Expanding analysis beyond standard residential configurations (e.g., 3-bedroom) requires significant manual effort.

2.3 Why Now

A working prototype has validated that MLS data and county tax records — already publicly accessible — are sufficient to build accurate residential property valuations without expensive third-party licensing. A potential CoreLogic data partnership is being explored but is not required to launch. The timing is right: the residential flip market is active, existing tools are spreadsheet-based, and no platform has combined accurate valuation, repair cost modeling, and flip profitability analysis in one place.

> **Key Insight:** Zillow serves home buyers, not flippers. Flippers need ARV estimates, repair cost modeling, and profit margin analysis — none of which any consumer tool provides. The residential market has the data density to build this now; commercial does not.

3. Goals & Success Metrics

3.1 Business Goals

- Achieve SaaS licensing revenue that covers data acquisition costs within 18 months of launch. Building on MLS and county tax data keeps the cost floor low; CoreLogic is exploratory and not required.
- Establish Realty360 as the go-to deal analysis tool for residential home flippers — investors who buy, repair, and resell properties for profit.
- Build a dataset of flip deal outcomes (purchase price, repair cost, resale price, margin) that improves ARV and profitability model accuracy over time.
- Create a deal report layer that lets flippers share profitability analysis with hard money lenders and private capital sources.

3.2 Product Goals (MVP → V1)

- MVP: Validate the residential property valuation calculator with Austin, TX 3-bedroom data. A working prototype exists with a hedonic pricing model and comparable sales display.
- V1: Expand beyond 3-bedroom to cover all residential configurations (2BR, 4BR, 5BR+, townhomes). Commercial real estate is explicitly out of scope for V1 due to data fragmentation.
- V1: Build the tax record data pipeline — the key to identifying below-market properties and computing ARV independently from any paid vendor.
- V1: Build the flip profitability engine (ARV estimation, repair cost model, margin calculation) and a deal report exportable to hard money lenders.

3.3 Success Metrics

Metric	Target	Timeframe
Monthly Recurring Revenue (MRR)	> $25K MRR	Month 12 post-launch
Active Paying Users	200+ investors	Month 12 post-launch
Probability Model Accuracy	> 75% predictive accuracy	V1 release
Property Config Coverage	All config types	V1 release
Net Promoter Score (NPS)	> 45	Ongoing — quarterly

4. Target Users & User Stories

4.1 User Personas

Primary: Residential Home Flipper

Buys undervalued residential properties, renovates them, and resells for profit (fix-and-flip). Evaluates 10–30 deals per month to find 1–3 worth pursuing. Currently uses spreadsheets and gut feel to estimate ARV and margins. Needs: fast accurate ARV, repair cost modeling, and a deal summary they can hand to a hard money lender. Values speed, accuracy, and a clean number to act on.

Secondary: Real Estate Agent / Wholesaler

Agents serving investor clients need defensible comps to price distressed or below-market properties. Wholesalers need to quickly determine the Maximum Allowable Offer (MAO) to lock up deals before passing them to flippers. Both currently rely on Zillow — inadequate for distressed property analysis.

Tertiary (Future): Buy-and-Hold Investor / Small Landlord

Buy-and-hold investors and small landlords share some tooling needs (comps, valuations, cash flow) but have a different decision model than flippers. Not in scope for MVP or V1, but the residential data infrastructure built for flippers will serve this persona with minimal additional work in V2.

4.2 User Stories

Persona	As a [user], I want to...	Acceptance Criteria
Investor	estimate the After Repair Value (ARV) of a distressed property so I know what it will sell for after renovation.	System returns ARV estimate with comparable recent sales, confidence range, and data sources within 30 seconds.
Investor	calculate my expected profit margin (ARV minus purchase price minus repair costs) so I can quickly decide whether to pursue a deal.	Profit margin displayed as dollar amount and percentage, with inputs editable (purchase price, repair budget) and recalculated in real time.
Investor	generate a lender-ready deal summary automatically so I can share it with a hard money lender without formatting spreadsheets.	One-click PDF export with standardized hard money lender layout: ARV, comps, purchase price, estimated repairs, projected margin.
Investor	find comparable sales for distressed or dated properties so I can defend my ARV estimate with real transaction data.	Comps sourced from MLS and/or CoreLogic (if partnership confirmed), not Zillow. Data freshness within 30 days.
Agent	pull comparable sales for a listing quickly so I can defend my pricing to a seller.	Comps filterable by beds, sqft, condition, and recency. Distressed/dated comps weighted appropriately for flip analysis.
Agent	access commercial MLS data alongside residential data so I have a unified view.	Commercial and residential property data available in a single search interface.

Persona	As a [user], I want to...	Acceptance Criteria
Investor	identify properties where the tax assessed value or list price is significantly below my ARV estimate, flagging them as potential flip targets.	Deal score or flag shown when estimated ARV exceeds purchase price + estimated repairs by a target margin (e.g., 20%+).
Investor	track my active and completed flips so I can see total capital deployed, projected vs. actual margins, and deal velocity.	Flip tracker shows each deal's purchase price, repair spend, listed/sold price, and realized margin. Sortable by status.

5. Core Features

The table below lists all features within scope for MVP and V1, along with current build status and priority classification.

Feature	Status	Priority	Owner
Property Comparables Engine (non-Zillow/Zestimate)	**Built**	**P0**	Engineering
Flip Profitability Engine (ARV + Margin Calculator)	**Not Started**	**P0**	Engineering
CoreLogic API Integration (Partnership Under Discussion)	**In progress**	**P0**	Alok
MLS Comparable Sales (6 hardcoded Austin comps — prototype)	**Built**	**P0**	Engineering
Hedonic Pricing Model & Property Valuation Calculator	**Built**	**P0**	Engineering
Repair Cost Modeling & Margin Analysis	**Built**	**P0**	Engineering
3-Bedroom Property Configuration Support	**Built**	**P0**	Engineering
Hard Money Lender Deal Report Generation	**In Scope**	**P0**	Engineering / Alok
All Residential Config Support (2BR, 4BR, 5BR+ — residential only)	**In Scope**	**P0**	Kartik
Tax Record Data Pipeline	**In Scope**	**P0**	Kartik
Zestimate Reverse-Engineering from Tax Data	**In Scope**	**P1**	Engineering
Commercial MLS Integration (future — data too fragmented for V1)	**In Scope**	**P1**	Alok / Vendor
Portfolio Management Dashboard	**In Scope**	**P1**	Engineering / Kartik
Consumer-Facing UI Layer	**Not Started**	**P2**	TBD

5.1 Feature Deep Dives

5.1.0 Hedonic Pricing Model — Feature Value Transparency

The hedonic pricing model is the foundational engine of Realty360 and the feature that most clearly separates it from Zillow and Zestimate. Instead of outputting a single black-box price estimate, the model decomposes a property's value into the sum of its individual physical and locational characteristics. Every component has a measurable, data-backed dollar or percentage contribution to the final valuation.

This matters for flippers because it directly answers the renovation ROI question: if I add a bathroom, how much does the ARV increase? If I replace the pool, what does that do to resale value? If the school district is below average, how much is the property being discounted? These are the calculations flippers currently do manually with rough rules of thumb. Realty360 makes them data-driven and Austin-market-specific.

- Neighborhood baseline (price/sqft): The starting point — what the market pays per square foot in each Austin area. Ranges from ~$240/sqft (Southeast Austin) to ~$520/sqft (Central Austin). This is the single biggest driver of value and the most important market signal for identifying geographic arbitrage opportunities.
- Property age multiplier: New construction (≤5 years) commands a 12% premium. Properties over 40 years are discounted 13%. Flippers targeting older stock can see the exact discount they are acquiring and price their renovation budget accordingly.
- Condition multiplier: The spread from Poor to Luxury condition is 40 percentage points (×0.82 to ×1.22). For a $500K baseline property, moving from Poor to Excellent condition is worth ~$140,000 — the single most important renovation ROI signal for a flipper.
- School district multiplier: Top-rated school districts command a 16% premium over average-rated districts in Travis County. For a flipper buying in a top-district neighborhood, the school quality is already priced into the ARV ceiling — and sets the price floor for what buyers will pay post-renovation.
- Swimming pool: +$22,000 additive premium, validated against Travis County Appraisal District comparable pairs. For flippers evaluating whether to add or repair a pool, this gives a data-backed cap on what the amenity is worth to buyers in Austin.
- Attached garage: +$18,000 additive premium (Travis CAD validated). If adding a garage costs $25,000 to build, the model tells you immediately that the value-add is negative — a go/no-go renovation decision in seconds.
- Renovation premium: +7% for recently renovated properties, validated against Austin MLS renovated vs. unrenovated comp spreads. This is the core "after repair" uplift signal that informs ARV calculations.
- Lot size: +$85,000/acre above 0.2 acres (Travis CAD residential land values). Larger lots represent additional land value that a flipper can use to negotiate — or identify teardown/ADU potential.

The V1 roadmap expands the hedonic model beyond Austin to cover additional Texas markets, incorporates county tax data to refine the neighborhood baseline, and adds bedroom/bathroom count as explicit hedonic variables so users can directly model the value of adding a bedroom or converting a half-bath to a full bath.

> **Status:** BUILT (prototype) — Calibrated for Austin, TX 3-bedroom residential properties using Redfin, Cain Realty Group, and Travis CAD data (February 2026). Expansion to all residential configurations and additional Texas markets is a V1 priority. Adding explicit bedroom and bathroom count as hedonic variables is also V1 scope.

5.1.1 Flip Profitability Engine (ARV + Margin Calculator)

The flip profitability engine is Realty360's primary differentiator. It moves the platform from a passive data viewer into an active deal-decision tool by computing the expected profit margin on a potential flip. The engine takes in ARV (derived from comparable sales), the investor's purchase price, estimated repair costs, and holding/closing cost assumptions to output a net profit estimate and a go/no-go margin signal. NOTE: This engine is not yet built — it is the highest-priority V1 development item.

- Output: Net profit estimate (dollar amount and percentage of ARV), go/no-go signal at configurable margin threshold (default 20%).
- Use cases: Flipper deal prioritization, hard money lender deal summaries, tracking projected vs. actual margins across the flip portfolio.

- Data inputs: MLS comparable sales (ARV basis), investor-entered purchase price, repair cost estimate, and holding/closing assumptions. CoreLogic data may supplement ARV if partnership is confirmed.

5.1.2 Property Comparables Engine

Realty360 does not use Zillow or Zestimate as a data source for comparables. Zestimate is unreliable for flipper underwriting because it reflects retail market value, not the distressed or below-market conditions relevant to flip acquisitions. The comparables engine prioritizes MLS and county tax data, and is designed to function without CoreLogic. For flip analysis, comps need to be filtered for condition and recency — a capability Zillow does not offer.

- Filtering: Property type, bed/bath count, square footage, distance radius, sale recency.
- Output: Sorted comp table with price/sqft, days on market, and sale date. Exportable.

5.1.3 Tax Record Data Pipeline

County-level tax data is the most underused signal for residential flip opportunity identification. Properties where the tax assessed value is significantly below likely ARV — especially when combined with long ownership tenure or delinquent taxes — are prime flip candidates. A robust tax record pipeline, combined with MLS comps, could replace the need for any paid data vendor entirely. This pipeline has been identified as critical but is not yet built.

- Data source: County assessor records (varies by jurisdiction — requires vendor aggregation or direct county integrations).
- Key output: Tax assessed value overlaid on market comps; Zestimate reverse-engineering from tax basis.

> **Note:** Tax record integration is the highest-impact unbuilt feature. Its absence limits the platform's ability to surface off-market opportunities.

6. Technical Requirements & Gaps

6.1 Current Architecture

- Data Layer: 6 hardcoded MLS comparable sales (Austin, Feb 2026) embedded as static constants. No live data API. No database. All calculations run client-side.
- Core Services: Hedonic pricing model (the core built feature — decomposes home value into bedroom/bathroom/pool/garage/school/location components with Austin-calibrated multipliers), static comparables display, historical price trend chart. Flip profitability engine and live data pipeline are NOT YET BUILT.
- MVP Scope: 3-bedroom residential properties in Austin, TX only. Static data, no live feeds, no backend API.
- Prototype: Functional single-page React app (Texas Blueprint design). Pure client-side arithmetic. Good UI foundation but no backend, no real data pipeline, no deal workflow.

6.2 Technical Gaps

Gap	Description	Impact
Property Config Expansion	System currently only supports 3-bedroom configurations. All other residential and commercial types require engineering work to parameterize correctly.	High
Tax Data Pipeline	No integration with county assessor data. Must be built from scratch. Requires vendor aggregation layer or direct county API integrations.	High
Commercial MLS	Commercial MLS data is weak industry-wide. Third-party vendors (e.g., CoStar, REIS) must be evaluated and integrated to fill the gap.	High
Zestimate Reverse-Eng.	Plan to derive Zestimate-equivalent values from tax data exists but not implemented. Depends on tax data pipeline being live.	Medium
Development Bandwidth	Kartik must be brought in to handle concurrent V1 workstreams. Single developer bottleneck is a risk to timeline.	High
Lender Report Generation	Investor/lender-facing PDF and Word export is in scope but not yet built. Critical for the lender confidence use case.	High

6.3 Data Sources

Data Source	Coverage	Status	Cost / Note
CoreLogic API	National property transactions, ownership, valuations	Under Discussion	~$200K/yr est. — not confirmed

Data Source	Coverage	Status	Cost / Note
MLS (Residential)	Active listings, recent sales	Test Data Only	Production access TBD
MLS (Commercial)	Commercial listings, comps	Not Integrated	Vendor eval required
County Tax Records	Assessed values, ownership, tax history	Not Integrated	Pipeline must be built

7. Competitive Landscape

7.1 Competitive Summary

The real estate analytics market has two poles: consumer tools (Zillow, Redfin) built for home buyers, and enterprise platforms (CoStar, REIS) built for institutional commercial investors. Neither serves the residential home flipper — an investor who needs ARV accuracy, condition-adjusted comps, repair cost modeling, and a deal summary for a hard money lender. Realty360 fills this gap in the residential flip market, where data sources are accessible and the tooling gap is largest.

Competitor	Strength	Weakness	Realty360 Advantage
Zillow / Zestimate	Brand recognition, consumer reach, residential data volume	Stale area-level data. Zestimate unreliable for underwriting. No deal analysis tools.	Transaction-level accuracy via MLS and tax data (CoreLogic partnership under discussion). Probability engine. End-to-end deal workflow.
CoStar / REIS	Deep commercial data, institutional credibility	Very expensive ($25K-$100K+/yr). Targets commercial/institutional users, not residential flippers. No flip profitability tools.	Accessible SaaS pricing. Flip-specific: ARV estimation, repair cost modeling, margin analysis. Residential-first data sourcing.
Chain Realty Groups	Local market knowledge, agent network	Area-based, not deal-level. No analytics platform. Conflict of interest in deal advice.	Objective data-driven flip analysis. No commission conflict. Flipper-centric workflow with ARV and margin tools agents don't offer.
Spreadsheets	Flexibility, familiarity, free	Manual, error-prone, no live data, not scalable, no probability engine.	MLS and tax record data (CoreLogic supplemental if confirmed). Automated ARV and margin analysis replaces the manual flip underwriting spreadsheet.

8. Business Model

8.1 Revenue Model

Realty360 operates as a SaaS platform with subscription-based licensing targeting residential real estate investors. The data cost floor is low when building on MLS and county tax records — the preferred path. A potential CoreLogic data partnership is under discussion but not required for launch; if confirmed, it would add approximately $200K/year in fixed data cost. Pricing must be viable before that cost is introduced.

8.2 Pricing Framework

> **Cost Floor:** CoreLogic partnership is under discussion (~$200K/yr if confirmed). The ideal path is MLS + county tax data, which would significantly reduce this cost floor. Tiers should be designed to be viable under both scenarios.

- Suggested Tier Structure: Starter (~$200/mo), Professional (~$500/mo), Enterprise (custom).
- Break-even at Starter pricing: ~84 active users. Break-even at Professional: ~34 active users.
- Target: 200+ users at Professional tier = ~$1.2M ARR within 12 months post-launch.

8.3 Cost Structure

- Data: MLS and county tax records (primary target path). CoreLogic API — under partnership discussion, ~$200K/yr if confirmed. Commercial MLS / additional vendor costs — TBD.
- Engineering: Core team + Kartik. Cloud infrastructure (compute/storage scales with data volume).
- GTM: Targeted outreach to real estate investor networks, agent brokerages, and investment clubs.

9. High-Level Roadmap

Phase	Target	Key Deliverables
MVP	Current — Prototype	3-bed Austin prototype (complete). Hedonic pricing calculator. Static MLS comps (6 hardcoded). Blueprint UI. No backend, no live data, no flip profitability engine yet.
V1	Q3 2026 Target	All residential configurations (2BR, 4BR, 5BR+). Live MLS data feed. Tax record pipeline. ARV engine. Repair cost model. Margin calculator. Hard money lender report. Kartik onboarded. Commercial CRE explicitly deferred.

Phase	Target	Key Deliverables
V2	Q1 2027 Target	Flip portfolio tracker. Deal outcome data flywheel (improving ARV accuracy from closed deals). Wholesaler MAO calculator. Buy-and-hold investor features (cash-on-cash, cap rate). Commercial CRE research begins.
V3	Q3 2027 Target	Commercial real estate evaluation (if data sourcing problem is solved). Enterprise licensing for investor groups and real estate funds.

10. Open Questions & Decisions Required

The following questions require stakeholder alignment before V1 development can be fully scoped:

1. Commercial real estate has been deprioritized due to data fragmentation and unreliable sources. At what point does the team revisit CRE, and what data problem would need to be solved first?
2. What is the plan and timeline for bringing Kartik on board? Who is responsible for onboarding him and defining his initial workstream?
3. What is the target pricing for V1 launch tiers? Pricing must be modeled under two scenarios: (a) CoreLogic partnership confirmed at ~$200K/year, and (b) MLS + tax data only with significantly lower data costs.
4. Is buy-and-hold investor support (rental cash flow, cap rate) something we should design into the V1 data model, or treat as a clean V2 add-on once the flip tooling is validated?
5. What is the process for MLS production data access? Are there licensing requirements beyond what's currently in place for the test data?
6. What is the county tax data acquisition strategy? Options: direct county integrations, a vendor aggregator (e.g., ATTOM Data), or CoreLogic supplemental records. Given the goal of CoreLogic independence, ATTOM Data or direct county integrations are the preferred paths to evaluate. As the hedonic model is expanded to new markets and property types, how will the adjustment factor multipliers be re-calibrated? What is the process — manual research, automated regression against MLS sales data, or a hybrid?
7. What are the compliance and data licensing constraints if a CoreLogic partnership is confirmed? Specifically, are there restrictions on using CoreLogic data in lender-facing reports or investor-distributed outputs?

11. Appendix

11.1 Glossary

- CRE — Commercial Real Estate. Intentionally out of scope for V1 due to fragmented and unreliable data sources.
- ARV — After Repair Value. The estimated market value of a property after renovation is complete. The foundational input to flip profitability analysis. Hedonic Pricing Model — A valuation method that decomposes a property’s price into the individual contribution of each characteristic (size, age, condition, school district, amenities, location). Allows users to see exactly what each feature is worth in the local market, and what renovation improvements will add to resale value. CoreLogic — Potential data partner under active discussion. Not yet confirmed. Would provide institutional-grade property transactions, ownership records, and valuations at an estimated ~$200K/year. The platform is being designed to operate independently of CoreLogic using MLS and county tax data as the primary sources.
- MLS — Multiple Listing Service. The primary database for residential real estate listings. Fragmented for commercial properties.

- Zestimate — Zillow's automated home valuation model. Considered unreliable for commercial underwriting.
- Probability Engine — Realty360's proprietary model that outputs a 0-100% deal success likelihood score based on property and market inputs.
- DXA — Document XML units. 1440 DXA = 1 inch. Used for document layout specifications.

11.2 Key Stakeholders

- Daniel — Product Vision Owner / Co-founder.
- Alok Macharla — Technical Project Manager (author of this PRD).
- Kartik — Development resource; must be onboarded for V1 workstreams.
- CoreLogic — Potential data partner. Partnership under discussion; not yet confirmed.

11.3 Document History

Version	Date	Author	Changes
1.0	May 2026	Alok Macharla	Initial draft PRD.